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Subnational Debt of China: The Politics-Finance Nexus

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1 Big picture

- **Question.** Do governments selectively default when they can identify their creditors, and can political power over politician promotion explain who gets repaid and who gets defaulted on?
- **Setting.** The paper studies Chinese local government borrowing through local government financing vehicles (LGFVs) from 2007 to 2013. During this period, LGFVs borrowed heavily from banks, especially the China Development Bank (CDB) and large commercial banks.
- **Core challenge.** A lower default rate on loans from one lender could reflect safer borrowers, better screening, or true selective repayment by the borrower. The empirical challenge is to isolate creditor identity from borrower quality and local macro conditions.
- **Main idea.** The paper uses political rank differences across lenders. The CDB had ministerial rank and influence over local politicians' careers, while major commercial banks were ranked at deputy-minister level or lower. If local governments strategically avoid defaulting on politically powerful creditors, then CDB loans should be safer *for the same borrower at the same time*.
- **Main hypotheses.**
 - **Hypothesis 1 (selective default).** When lenders can be identified, local governments selectively default on less critical banks and avoid defaulting on critical banks such as the CDB.
 - **Hypothesis 2 (politics-finance nexus).** Defaulting on politically powerful banks, especially the CDB, hurts local politicians' promotion chances.
- **Main empirical results.**
 - Among matured LGFV loans, the default rate is **1.42%** for commercial banks but only **0.25%** for the CDB.
 - In selective-default regressions restricted to city-years with at least one default, the coefficient on **CDB** is **-0.048**; it becomes **-0.063** in high-deficit cities and **-0.097** in the most distressed cities.
 - After the 2008 commercialization announcement that reduced the CDB's political power, the CDB repayment advantage weakened.
 - Defaulting on CDB loans lowers politicians' promotion probability, whereas commercial-bank defaults do not.
 - Politically connected or high-rank local politicians engage less in selective default.
- **Economic takeaway.** Governments do not simply "default or not." When creditor identities are known, they can default strategically. In this setting, political power over local officials shapes which lenders are protected.

2 Data and measurement (key objects)

2.1 Institutional setting: local government debt in China

- **Budget-law background.** During 2007–2013, the 1994 Budget Law prohibited Chinese local governments from borrowing directly.

- **Borrowing vehicle.** Local governments therefore borrowed off balance sheet through **LGFVs**, special-purpose financing vehicles wholly owned by local governments.
- **Financing sources.** LGFVs borrowed from:
 - bank loans,
 - municipal corporate bonds (“Chengtou” bonds), and
 - shadow-banking credit.
- **Why bank loans matter.** Bank loans were the dominant source during the sample period. The paper exploits the fact that bank lenders are identifiable and differ in political importance.
- **No standard local-government bankruptcy.** China did not have a Chapter 9-style formal bankruptcy process for local governments during the sample period, and there were no cross-default clauses forcing a broad default once one debt was missed.

2.2 Borrowers, lenders, and political hierarchy

- **Borrowers.** The main borrowers are LGFVs, but the paper also studies non-LGFV state-owned enterprises (SOEs) and private firms as comparison groups.
- **Lenders.** The sample includes the **19 largest Chinese banks**. The key comparison is between:
 - the **China Development Bank (CDB)**, and
 - **17 commercial banks** (five major state-owned commercial banks plus joint-equity banks).
- **Political hierarchy.**
 - The CDB was the only major lender whose head had **ministerial rank** during most of the sample.
 - Major commercial banks were generally at the **deputy-ministerial level or lower**.
 - Prefecture-level city politicians (party secretaries and mayors) were at the **department level**, below the CDB.
 - Some provincial leaders and Politburo members outranked the CDB.
- **Why this matters.** If the CDB can influence provincial leaders or provide information relevant to promotion, then city politicians may rationally avoid defaulting on CDB loans first.

2.3 Main data sources

- **Loan-level bank data.** The main data set comes from China’s banking regulatory authority. It contains over **seven million** loan contracts granted by the 19 largest banks to corporations.
- **Coverage rule.** The data include borrowers with annual credit lines above **RMB50 million** between January 2007 and June 2013, covering over **80%** of total bank credit in China.
- **LGFV coverage.** For LGFVs, the data cover about **98%** of bank credit.
- **Borrower information.** The loan data contain borrower identity, location, size, leverage, bank branch information, loan amount, maturity, guarantees, internal bank rating, issue date, maturity date, and actual repayment history.

- **LGFV identification.** The authors combine official LGFV name lists released by the China Banking Regulatory Commission with manual verification from firm registration records, identifying **11,487** LGFVs in total and matching **5,672** of them to bank-loan records.
- **Bond data.** The authors collect all LGFV bond issuances from Wind to compare bank borrowing and bond borrowing. There are **zero LGFV bond defaults** during the sample period.
- **Local government and politician data.** They collect city-level economic variables (GDP, deficits, etc.) and hand-code politician biographies to identify:
 - Politburo membership (**CPC top 25**), and
 - whether a city politician is connected to a future Politburo member (**CPC top 25 connected**).

2.4 Key descriptive objects

- **Scale of borrowing.** In 2007, there were **2,380** LGFVs and **23,150** newly issued LGFV loans totaling **RMB1.3 trillion**. By 2009, issuance surged sharply after the global financial crisis and China’s stimulus response.
- **All-sample new-loan volume.** Over 2007–2013, the authors observe **176,074** new LGFV loans totaling **RMB11.5 trillion**.
- **Average contract features.**
 - Average LGFV loan size is about **RMB65 million**.
 - Average maturity rises from about **3.4** to **4.1** years over the sample.
 - About **36.1%** of loans are guaranteed by a third party.
- **CDB share.** The CDB originates about **6.5%** of LGFV loans in the sample.
- **Default definition.** A loan is in default if it remains delinquent for **90 days or longer** after maturity.
- **Overall default rate.** The overall LGFV loan default rate is **1.34%**.
- **Political variables.**
 - **CPC top 25** has mean **0.196**: around 19.6% of merged LGFV observations are in provinces whose provincial secretary is a Politburo member.
 - **CPC top 25 connected** has mean **0.381**: around 38.1% of merged LGFV observations have at least one city leader connected to a Politburo member.

2.5 Key variables and timing

- **CDB.** Indicator equal to one if the lender is the China Development Bank.
- **Default.** Indicator equal to one if the matured loan remains delinquent for at least 90 days.
- **Bank loan rating.** Internal bank rating from 1 to 5, where 1 is best and 5 is worst.

- **Fiscal deficit ratio.** Local fiscal deficit divided by city GDP.
- **Commercialization.** Indicator equal to one if a loan matures after the February 2008 announcement of CDB commercialization.
- **Promotion.** Indicator equal to one if a city secretary or mayor is promoted from department-level to deputy-minister-level office after the term.
- **Top-level LGFV.** Indicator equal to one if the LGFV is owned by a provincial government rather than a city-level or lower government.
- **Term-level default variables.**
 - $\log(\text{Default CDB})$: $\log$ one plus total defaulted CDB loan amount during a politician's term.
 - $\log(\text{Default CM})$: $\log$ one plus total defaulted commercial-bank loan amount during a politician's term.

3 Models and empirical specifications (all equations + interpretation)

3.1 Core mechanism: why selective default can occur

The paper is primarily empirical, but its core mechanism can be summarized by a simple decision rule. Suppose a local government in distress considers defaulting on one creditor b . The net gain from defaulting on that creditor can be written as

$$\text{Net Gain from Defaulting on } b = \text{Liquidity Relief}_b - \text{Political Cost}_b - \text{Future Financing Cost}_b.$$

If the CDB has more political power than commercial banks, then

$$\text{Political Cost}_{\text{CDB}} > \text{Political Cost}_{\text{CM}}.$$

So, conditional on needing to default on *someone*, the local government defaults first on commercial-bank loans.

Interpretation. This is the paper's verbal political-economy mechanism. The empirical work tests whether this ranking of default costs is visible in the data.

3.2 Baseline loan-default regressions across lender types

The paper first studies whether CDB loans default less often than commercial-bank loans after controlling for observed contract characteristics and borrower characteristics. A generic version of the baseline specification is

$$\text{Default}_{\ell ft} = \alpha + \beta \text{CDB}_b + \Gamma Z_\ell + \Lambda X_{ft} + \delta_t + \delta_{\text{industry}} + \delta_{\text{region}} + \varepsilon_{\ell ft},$$

where

- ℓ indexes a loan,
- f the borrowing firm,

- b the bank,
- t the year,
- Z_ℓ contains loan controls such as rating, size, maturity, and guarantee status, and
- X_{ft} contains borrower controls such as assets and leverage.

A stronger version absorbs borrower quality with firm-year fixed effects:

$$\text{Default}_{\ell fbt} = \beta \text{CDB}_b + \Gamma Z_\ell + \mu_{f,t} + \varepsilon_{\ell fbt}.$$

Interpretation. The coefficient β asks whether the same firm in the same year defaults less on CDB loans than on commercial-bank loans. If yes, this is hard to explain purely by borrower quality.

3.3 Selective-default regression

To isolate genuine selective repayment, the paper restricts the sample to loans in city-years where at least one LGFV loan has defaulted. In that restricted sample, the estimating equation is essentially

$$\text{Default}_{\ell fbt} = \beta \text{CDB}_b + \Gamma Z_\ell + \mu_{f,t} + \varepsilon_{\ell fbt},$$

but now only among loans that come due in the same troubled city-year.

Interpretation. This specification does not ask whether CDB loans are safer on average. It asks a sharper question: *when a city defaults on some loans, are CDB loans less likely than commercial-bank loans to be the loans that get defaulted on?*

3.4 Commercialization shock: a difference-in-differences style test

The paper next exploits the February 2008 announcement of CDB commercialization, which reduced the CDB's political rank and influence. The basic event-window specification is

$$\text{Default}_{\ell fbt} = \beta_1 \text{CDB}_b + \beta_2 \text{Commercialization}_t + \beta_3 (\text{CDB}_b \times \text{Commercialization}_t) + \Gamma Z_\ell + \mu_{f,t} + \varepsilon_{\ell fbt}.$$

Interpretation.

- $\beta_1 < 0$: before the reform, CDB loans are less likely to be defaulted on.
- $\beta_3 > 0$: after the reform reduces the CDB's political power, the CDB repayment advantage weakens.

This is especially useful because it moves beyond cross-sectional rank comparisons and uses a quasi-exogenous shock to lender political power.

3.5 Promotion regressions: mechanism evidence

To test the politics-finance mechanism, the paper runs politician-term regressions of the form

$$\text{Promotion}_p = \theta_1 \log(\text{Default CDB}_p) + \theta_2 \log(\text{Default CM}_p) + \Theta W_p + u_p,$$

where p indexes a politician-term and W_p includes term-level controls such as GDP growth, unemployment change, fiscal deficit ratio, population growth, GDP per capita, and fiscal revenue.

The richer specification adds political connections:

$$\text{Promotion}_p = \theta_1 \log(\text{Default CDB}_p) + \theta_2 \text{Connected}_p + \theta_3 [\log(\text{Default CDB}_p) \times \text{Connected}_p] + \dots + u_p.$$

Interpretation.

- If $\theta_1 < 0$, then defaulting on CDB loans hurts promotion.
- If $\theta_3 > 0$, then political connections cushion that penalty.

This is the paper’s direct evidence that lender identity matters because of politician career concerns.

3.6 Political-rank heterogeneity in selective default

The paper then asks whether more powerful politicians and more highly ranked LGFVs engage less in selective default. The interaction regression takes the form

$$\text{Default}_{\ell ft} = \beta_1 \text{CDB}_b + \beta_2 \text{Rank}_{ft} + \beta_3 (\text{CDB}_b \times \text{Rank}_{ft}) + \Gamma Z_\ell + \mu_{f,t} + \lambda_{b,t} + \varepsilon_{\ell ft},$$

where Rank_{ft} is alternately measured by

- **CPC top 25 connected,**
- **CPC top 25,** or
- **Top-level LGFV.**

Interpretation. If $\beta_3 > 0$, then selective default is weaker among politically stronger local borrowers. The logic is simple: politicians who are already powerful, or protected by more powerful patrons, do not need to “please” the CDB as much.

3.7 What the coefficients mean economically

- A **negative coefficient on CDB** in the default regressions means CDB loans are less likely to default than comparable commercial-bank loans.
- A **negative coefficient on CDB** in the selective-default sample means that when repayment capacity is limited, local governments choose to default on commercial-bank loans first.
- A **positive coefficient on CDB $\times$ Commercialization** means the CDB’s preferential status becomes weaker after its political downgrading.
- A **negative coefficient on log(Default CDB)** in the promotion regression means that failing to repay the CDB is costly for politician careers.
- A **positive interaction with political connections or higher rank** means selective default weakens when local politicians are politically stronger.

4 Identification and empirical credibility (what makes the results persuasive)

4.1 What is hard to identify

- A lower default rate on CDB loans could reflect safer borrowers rather than selective repayment.
- The CDB could also have different loan terms, stronger collateral, or better screening.
- Local macro shocks can hit all local borrowers at once, making raw default-rate comparisons misleading.

4.2 Why the firm-year design is powerful

- The key empirical design compares **the same borrower in the same year across different lenders** using firm-year fixed effects.
- This absorbs time-varying borrower quality, local economic conditions, and many omitted variables related to borrower demand for credit.
- Therefore, the remaining lender identity effect is much more plausibly about the political consequences of defaulting on one bank versus another.

4.3 Why the selective-default sample is especially convincing

- The paper restricts attention to city-years in which at least one loan default occurs.
- This removes the question of whether the city defaults at all and focuses on *which loans* the city defaults on when repayment capacity is scarce.
- The stronger CDB coefficients in high-deficit cities fit the idea that creditor selection matters most when default is truly necessary.

4.4 Why the commercialization shock matters

- The February 2008 commercialization announcement provides a shock to the CDB's political status.
- The weakened protection of CDB loans after this event is difficult to reconcile with a pure borrower-quality story.
- In other words, the CDB's special status is not fixed technological superiority; it changes with political power.

4.5 Why the promotion results support the mechanism

- If local politicians avoid defaulting on CDB loans to protect their careers, then CDB defaults should predict worse promotion outcomes.
- This is exactly what the paper finds: $\log(\text{Default CDB})$ is negatively related to promotion, whereas $\log(\text{Default CM})$ is not.

- Moreover, the penalty is weaker for politicians with Politburo connections and for politically higher-ranked governments.

4.6 Placebos and alternative explanations

- **Private-firm placebo.** Private firms show no default difference between the CDB and commercial banks. That is important because private firms do not face politician-promotion incentives.
- **Non-LGFV SOEs.** The CDB still performs better than commercial banks for non-LGFV SOEs, but the gap is smaller than for LGFVs. This gradient fits the idea that direct government linkage matters.
- **Market-power alternative.** The authors show that even in places where the CDB's lending share is low, selective default remains.
- **State ownership alternative.** They also show that the CDB effect is not simply a state-ownership effect: bank ownership ratios do not explain away the result.

4.7 Limitations

- The paper does not observe loan interest rates, so it cannot analyze the full pricing of political rank in loan contracts.
- Promotion regressions provide strong mechanism evidence, but they are not a clean randomized experiment.
- The institutional setting is China-specific, especially the political hierarchy and the LGFV structure.
- The analysis is about identifiable bank lending; it does not directly tell us how selective default would work in actively traded bond markets.

5 Tables and figures

5.1 Figure 1 and Figure 2: debt growth and political hierarchy

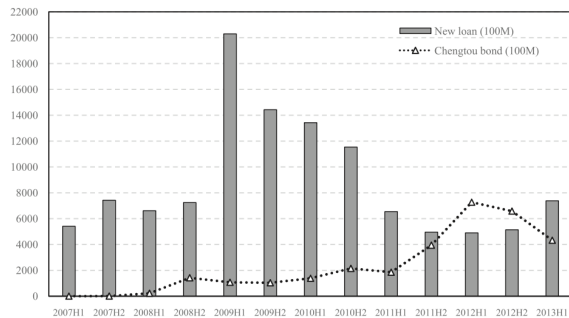


Fig. 1. Local government debt issuance in China over time. This figure plots the amount of new debt (in 100 million RMB) borrowed by local government financing vehicles (LGFVs) in China at the semiannual frequency from January 2007 to June 2013. The gray bars represent the total amount of new bank loans borrowed by LGFVs. The dashed line with triangles illustrates the amount of municipal corporate bonds (i.e., "Chengtou" bonds) issued by LGFVs.

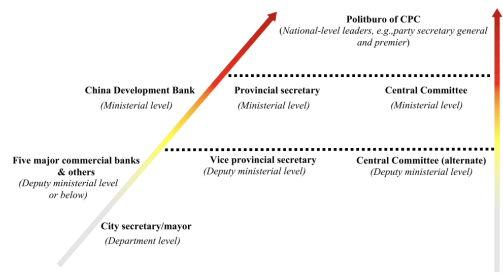


Fig. 2. The hierarchy of the government and the Communist Party of China. This figure plots the hierarchy of the political system in China, along with the major banks. The Politburo of the Communist Party of China (CPC), including party secretary general and the premier, are at the top with national rank. The next level is the Central Committee of the CPC, consisting of approximately 200 full members at the ministerial level and approximately 170 alternate members. The provincial secretaries and governors usually rank at the ministerial level and are the Central Committee members, while some of them, such as party secretaries in Guangdong and Xinjiang, are members of the Politburo. The next level is the department level for city secretaries and mayors. During our sample period, the CDB ranks at the ministerial level, while the 5 major state-owned commercial banks and the 12 joint equity commercial banks rank at the deputy ministerial or lower level.

Read:

- Figure 1 shows the rapid expansion of LGFV debt issuance from 2007 to 2013, with a visible jump around 2009. Bank lending dominates bond issuance throughout the period.
- The big economic message of Figure 1 is that the paper studies a setting where local governments rely mainly on identifiable bank creditors, which is exactly what makes selective default testable.
- Figure 2 lays out the political hierarchy. This figure is crucial because the whole mechanism depends on rank differences: Politburo at the top, then provincial leaders and the CDB at ministerial level, then commercial banks below, and city politicians below that.
- If a reader understands Figure 2, the logic of the paper becomes straightforward: defaulting on the CDB can create trouble for a city politician because the CDB sits higher in the political hierarchy than commercial banks do.

5.2 Table 1: sample distribution and key variables

Read:

- Table 1 gives the scale of the LGFV borrowing market. The issuance surge in 2009 is economically important because it follows the global financial crisis and China's stimulus.
- The table also shows that the average loan is large and fairly long maturity, so these are not tiny short-term credits but meaningful fiscal-financing arrangements.
- CDB loans are only 6.5% of the sample, so the paper's results are not driven by the CDB being the dominant lender in count terms.
- The political variables show that only a minority of observations are directly tied to Politburo rank or connections, which helps later interaction tests be meaningful rather than tautological.

Table 1
Summary statistics.
This table presents the summary statistics of bank loan contracts to local government financing vehicles (LGFVs). In Panel A, columns (1)-(7) show summary statistics for newly issued loans. #LGFVs in column (1) is the total number of LGFVs with bank loans per year. #Loans in column (2) is the total number of loans per year. Column (3) shows the total amount (in trillion RMB) of newly issued loans per year. #Loans per LGFV in column (4) is the average number of newly issued loans for each LGFV per year. Amount per LGFV in column (5) is the average amount of newly issued loans (in billion RMB) for each LGFV per year. Avg. maturity in column (6) is the average maturity (in years) of newly issued loans for each LGFV per year. #Banks per LGFV in column (7) is the average number of banks that issue new loans to each LGFV per year. Columns (8)-(10) report the statistics for outstanding loans. Panel B reports the descriptive statistics for the main variables used in this study. The sample period is from January 2007 to June 2013. See the Appendix table for detailed variable definitions.

Panel A: Sample distributions										
Year	New loans							Outstanding loans		
	(1) #LGFVs	(2) #Loans	(3) Total amount	(4) #Loans per LGFV	(5) Amount per LGFV	(6) Avg. maturity	(7) #Banks per LGFV	(8) #LGFVs	(9) #Loans	(10) Total Amount
2007	2380	23,150	1.3	9.7	0.5	3.4	2.3	2837	37,174	3.1
2008	2678	24,296	1.4	9.1	0.5	3.5	2.4	2248	45,216	3.8
2009	4412	47,539	3.5	10.8	0.8	4.0	2.8	4725	65,693	6.6
2010	3772	39,290	2.5	10.4	0.7	4.1	2.3	4857	73,806	7.7
2011	2256	17,564	1.1	7.8	0.5	3.9	2.0	4520	70,556	7.4
2012	1946	16,829	1.0	7.6	0.5	4.0	2.0	4194	67,216	7.3
2013	1733	9406	0.7	5.4	0.4	4.1	1.7	4100	65,315	7.3
All	5672	176,074	11.5	31.1	2.1	4.1	3.4			

Panel B: Summary statistics					
	Mean	Median	Std. Dev.	P25	P75
CDB	0.065	0.000	0.246	0.000	0.000
Default	0.013	0.000	0.094	0.000	0.000
Bank loan rating	1.155	1.000	0.411	1.000	1.000
Log(Loan Size)	3.630	3.714	1.167	2.890	4.511
Log(Maturity)	0.859	0.693	0.423	0.606	1.099
Guaranteed	0.361	0.000	0.480	0.000	1.000
Log(Assets)	12.993	12.973	1.506	11.915	14.115
Leverage	0.640	0.642	0.192	0.514	0.767
Local GDP growth	0.188	0.165	0.339	0.121	0.197
Local GDP growth volatility	0.072	0.044	0.209	0.032	0.057
Fiscal deficit ratio	0.014	0.012	0.007	0.011	0.016
Local loans/GDP	1.217	1.134	0.557	0.731	1.710
Legal enforcement	2.188	1.513	2.269	1.102	2.003
Promotion	0.245	0.000	0.430	0.000	0.000
CPC top 25	0.196	0.000	0.397	0.000	0.000
CPC top 25 connected	0.381	0.000	0.486	0.000	1.000

Table 2
Loan default rates in China.
This table reports the loan default rates in China for different types of borrowers and lenders. The lenders include the China Development Bank (CDB) and 17 commercial banks. Columns (1), (2), and (3) are for loans to LGFVs, non-LGFV SOEs, and private firms, respectively. Panel A shows average default rates equally weighted across loans. Panel B reports average default rates weighted by loan size. The sample period is January 2007 to March 2013. The t-statistics of the loan default rate difference between the CDB and the 17 commercial banks are reported in the parentheses. ***, **, * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Simple average			
Mean	LGFVs (1)	Non-LGFV SOEs (2)	Private firms (3)
All	1.34%	0.91%	0.94%
Loans from CDB	0.25%	0.47%	1.06%
Loans from 17 commercial banks	1.42%	0.91%	0.93%
Difference (t-statistic)	-1.178*** (-16.84)	-0.446*** (-2.39)	0.13% (-0.92)

Panel B: Weighted average			
Mean	LGFVs (1)	Non-LGFV SOEs (2)	Private firms (3)
All	0.99%	1.21%	1.25%
Loans from CDB	0.11%	0.47%	0.92%
Loans from 17 commercial banks	1.06%	1.22%	1.25%
Difference (t-statistic)	-0.958*** (-5.57)	-0.756*** (-3.08)	-0.33% (-1.35)

5.3 Table 2: raw default rates across lender and borrower types

Read:

- This is the paper's first headline table. For LGFVs, the default rate is 0.25% on CDB loans versus 1.42% on commercial-bank loans in the equally weighted data.

- For non-LGFV SOEs, the gap is smaller: 0.47% versus 0.91%.
- For private firms, there is no meaningful gap: 1.06% versus 0.93%.
- This borrower-gradient is exactly what the political story predicts: the closer the borrower is to local government and politician incentives, the larger the CDB protection effect.

5.4 Table 3: default regressions across banks

Read:

- Column (1) shows a large negative CDB coefficient even after controlling for contract, borrower, and regional characteristics.
- Column (2) adds local macro controls; the CDB effect remains negative and significant.
- Column (3), with firm-year fixed effects, is the most convincing borrower-quality test. The coefficient on CDB is **-0.018**, still highly significant.
- Columns (4) and (5) provide the comparison-group logic: a smaller negative effect for non-LGFV SOEs and no effect for private firms.
- The table says that the CDB repayment advantage is real, but it is especially large where politics is most relevant.

Table 3
Loan default across banks.

This table reports the estimation results of the OLS regressions for bank loan default probability. The dependent variable in all specifications is an indicator variable that equals one if the maturing loan remains delinquent for 90 days or longer and zero otherwise. The key independent variable CDB is an indicator variable that equals one if the loan is from the China Development Bank and zero if the loan is from other banks (i.e., commercial banks). Columns (1) to (3) are based on the LGFV loan sample. Column (4) is based on the sample of loans for non-LGFV SOEs, and column (5) is based on a sample of loans for private firms. See the Appendix table for variable definitions. Reported in the parentheses are *t*-statistics based on robust standard errors clustered by bank. ***, **, * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

	Dependent variable: Default				
	(1)	(2)	(3)	(4)	(5)
	LGFV		Non-LGFV SOEs		Private firms
CDB	-0.037*** (-5.91)	-0.020*** (-5.61)	-0.018*** (-5.40)	-0.009*** (-4.75)	0.002 (1.17)
Bank loan rating	0.062*** (4.68)	0.048*** (5.80)	0.036*** (8.07)	0.092*** (14.56)	0.044*** (8.38)
Log(Loan size)	0.001* (1.79)	-0.001 (-1.19)	-0.001 (-0.91)	-0.000 (-0.27)	0.000 (0.10)
Log(Maturity)	-0.009*** (-8.84)	-0.014*** (-6.18)	-0.010*** (-5.52)	-0.025*** (-6.20)	-0.008*** (-8.77)
Guaranteed	-0.003** (-2.25)	-0.000 (-0.22)	0.000 (0.45)	0.000 (0.10)	0.000 (0.52)
Log(Assets)	-0.003*** (-3.18)	-0.034*** (-5.79)			
Leverage	0.015** (2.07)	0.016*** (3.88)			
Local GDP growth		0.004 (0.86)			
Local GDP growth volatility		0.023 (1.44)			
Fiscal deficit ratio		0.004 (0.96)			
Local loan/GDP		0.003 (1.31)			
Legal enforcement		-0.001 (-1.47)			
Year FE	Yes	Yes	No	No	No
Industry FE	Yes	No	No	No	No
Region FE	Yes	No	No	No	No
Firm FE	No	Yes	No	No	No
Firm-year FE	No	No	Yes	Yes	Yes
Observations	115,797	114,092	113,238	589,958	4506,956
Adjusted R ²	0.104	0.291	0.450	0.392	0.459

Table 4
Selective default across banks.

This table reports the estimation results of the OLS regressions for selective default. The dependent variable in all specifications is an indicator variable that equals one if the maturing loan remains delinquent for 90 days or longer and zero otherwise. The key independent variable CDB is an indicator variable that equals one if the loan is from the China Development Bank and zero if the loan is from other banks (i.e., commercial banks). The sample includes loans from a given city in a given year that has at least one defaulted loan in any bank in that year. Column (1) reports the regression results for the full sample. Columns (2) and (3) report the regression results for subsamples of cities with fiscal deficit ratios above the median or 75th percentile, respectively. See the Appendix table for variable definitions. Reported in the parentheses are *t*-statistics based on robust standard errors clustered by bank. ***, **, * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

	Dependent variable: default		
	Full sample (1)	Deficit above median (2)	Deficit above 75th percentile (3)
CDB	-0.048*** (-4.99)	-0.063*** (-4.97)	-0.097*** (-4.62)
Bank loan rating	0.099*** (9.06)	0.145*** (8.93)	0.182*** (7.63)
Log(Loan size)	-0.002 (-0.95)	-0.003 (-0.76)	0.003 (0.80)
Log(Maturity)	-0.024*** (-4.40)	-0.028*** (-2.33)	-0.050*** (-2.30)
Guaranteed	0.002 (0.62)	0.002 (0.44)	-0.003 (-0.33)
Firm-year FE	Yes	Yes	Yes
Observations	31,015	12,250	5075
Adjusted R ²	0.498	0.555	0.585

5.5 Table 4: selective default in distressed city-years

Read:

- This is the central table for Hypothesis 1. In the full sample of troubled city-years, the coefficient on CDB is **-0.048**.
- When the city fiscal deficit ratio is above the median, the coefficient becomes **-0.063**; above the 75th percentile, it becomes **-0.097**.
- These stronger effects in more distressed places are exactly what one wants to see if the mechanism is “default is necessary, so choose the politically cheaper creditor to default on.”

- The economic interpretation is not that the CDB never gets defaulted on. It is that, among loans maturing when a troubled city has to miss payments somewhere, CDB loans are less likely to be the ones missed.

5.6 Table 5: CDB commercialization reform

Read:

- Table 5 uses a narrow event window around the February 2008 commercialization announcement.
- In the six-month window, **CDB** is negative while **CDB × Commercialization** is positive and significant. The same pattern appears in the nine-month window.
- This means the CDB still has some protection after the announcement, but less than before.
- The table is important because it shifts the paper from cross-sectional evidence to a political-rank shock: when rank weakens, selective-default protection weakens too.

Table 5
CDB commercialization reform and selective default.
This table reports the estimation results of the OLS regressions for selective default around the CDB commercialization announcement in February 2008. The dependent variable in all specifications is an indicator variable that equals one if the maturing loan remains delinquent for 90 days or longer and zero otherwise. *CDB* is an indicator variable that equals one if the loan is from the China Development Bank and zero if the loan is from other banks (i.e., commercial banks). *Commercialization* is an indicator variable which equals one if the loan's expiring month is after February 2008 and zero otherwise. The sample includes loans from a given city in a given year that has at least one defaulted loan in any bank in that year. Column (1) reports the results for the six-month event window from August 2007 to July 2008. Column (2) reports the results for the nine-month event window from May 2007 to October 2008. See the Appendix table for variable definitions. Reported in the parentheses are t-statistics based on robust standard errors clustered by bank. ***, **, * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

	Dependent variable: Default	
	(1) Six-month window	(2) Nine-month window
CDB × Commercialization	0.003** (2.24)	0.015* (1.65)
Commercialization	-0.005 (-1.22)	-0.007 (-0.86)
CDB	-0.005* (-1.66)	-0.023** (-2.33)
Bank loan rating	0.006 (1.00)	0.018* (1.75)
Log(Loan size)	0.002 (1.29)	0.001 (0.91)
Log(Maturity)	-0.007 (-0.82)	-0.007** (-2.46)
Guaranteed	0.004** (2.41)	0.005*** (3.32)
Firm-year FE	Yes	Yes
Observations	7615	11,636
Adjusted R ²	0.660	0.581

Table 6
Politician promotion and local government default.
This table reports the estimation results of cross-sectional OLS regressions for city politician promotion. The dependent variable in all specifications, *Promotion*, is an indicator variable that equals one if the city politician (i.e., the secretary or mayor) is promoted from a department-level position to a deputy-minister-level position after the term and zero otherwise. The observations are at the politician-term level. For each city politician term, *Log(Default CDB)* and *Log(Default CM)* are the logarithms of one plus the total amount of defaulted CDB loans and commercial bank loans, respectively. *CPC top 25 connected* is an indicator variable that equals one if the city politician's connected provincial leader becomes a Politburo member and zero otherwise. See the Appendix table for variable definitions. Reported in the parentheses are t-statistics based on robust standard errors clustered by politician. ***, **, * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

	Dependent variable: Promotion			
	(1)	(2)	(3)	(4)
Log(Default CDB)	-0.044** (-2.33)	-0.064** (-2.36)	-0.030* (-1.73)	-0.045** (-2.10)
Log(Default CM)	0.005 (0.71)	0.005 (0.53)	0.006 (0.74)	0.002 (0.29)
CPC top 25 connected	0.118*** (3.97)	0.112*** (3.47)		
Log(Default CDB) × CPC top 25 connected		0.067** (2.08)		0.049* (1.86)
Log(Default CM) × CPC top 25 connected		0.004 (0.35)		0.011 (1.14)
GDP growth during tenure	0.400** (2.15)	0.417** (2.20)	0.364* (1.94)	0.386** (2.02)
Unemployment rate change during tenure	-0.447 (-1.52)	-0.441 (-1.49)	-0.298 (-1.04)	-0.295 (-1.02)
Fiscal deficit ratio during tenure	-0.143 (-0.60)	-0.150 (-0.62)	-0.078 (-0.33)	-0.078 (-0.33)
Population growth during tenure	0.568 (1.00)	0.556 (0.96)	0.429 (0.83)	0.454 (0.86)
GDP per capita during tenure	-0.017 (-1.33)	-0.017 (-1.35)	-0.015 (-1.22)	-0.015 (-1.26)
Fiscal revenue during tenure	-0.252 (-0.89)	-0.196 (-0.66)	-0.287 (-1.08)	-0.218 (-0.77)
Politician FE	No	No	Yes	Yes
Observations	1790	1790	1790	1790
Adjusted R ²	0.033	0.034	0.211	0.213

5.7 Table 6: politician promotion and defaults

Read:

- Defaulting on the CDB lowers promotion probability. The coefficient on log(Default CDB) is negative and significant.
- Defaulting on commercial-bank loans does not have the same career consequence.
- Politicians connected to future Politburo members have much better promotion prospects overall.
- The positive interaction between log(Default CDB) and political connection means that connected politicians are less exposed to the career penalty of CDB default.
- This is the mechanism table. It provides the reason local governments care about which lender gets repaid.

Table 7
Political rank and selective default.
This table reports the estimation results of the OLS regressions for selective default. The dependent variable in all specifications is an indicator variable that equals one if the maturing loan remains delinquent for 90 days or longer and zero otherwise. CDB is an indicator variable that equals one if the loan is from the China Development Bank and zero if the loan is from other banks (i.e., commercial banks). CPC top 25 connected, CPC top 25, and Top-level LGFV are measures of political rank of the LGFV in columns (1), (2), and (3), respectively. The sample includes loans from a given city in a given year that has at least one defaulted loan in any bank in that year. See the Appendix table for variable definitions. Reported in the parentheses are t-statistics based on robust standard errors clustered by bank. ***, **, * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

	Dependent variable: default		
	(1) Political Rank=CPC Top 25 Connected	(2) Political Rank=CPC Top 25	(3) Political Rank=Top-level LGFV
CDB × Political rank	0.027*** (3.80)	0.018* (1.75)	0.039*** (3.39)
Political rank	-0.012 (-0.74)	-0.000 (-0.01)	-0.017* (-1.70)
Bank loan rating	0.105*** (7.58)	0.076*** (7.98)	0.097*** (8.37)
Log(Loan size)	-0.002 (-0.78)	-0.002 (-1.01)	-0.002 (-0.87)
Log(Maturity)	-0.028*** (-3.59)	-0.044*** (-4.34)	-0.023*** (-3.64)
Guaranteed	0.006** (2.03)	0.004 (1.51)	0.006* (1.85)
Firm-year FE	Yes	Yes	Yes
Bank-year FE	Yes	Yes	Yes
Observations	24,435	30,689	31,012
Adjusted R ²	0.516	0.556	0.511

5.8 Table 7: political rank and selective default

Read:

- The interaction **CDB × CPC top 25 connected** is positive and significant. This means city politicians with stronger high-level connections engage less in selective default.
- The interaction **CDB × CPC top 25** is also positive: if the provincial leader is highly ranked, local governments need less to placate the CDB.
- The interaction **CDB × Top-level LGFV** is positive and significant, showing that province-level LGFVs engage less in selective default than city-level ones.
- Taken together, Table 7 makes the political-rank mechanism very tight: when the borrower side becomes more powerful, the lender's political advantage matters less.

6 Short summary

- **Question.** The paper asks whether governments selectively default when creditor identities are known, and whether political power explains creditor priority.
- **Method.** It combines loan-level data on Chinese local-government borrowing with political-rank information on banks and local politicians, and uses fixed-effects regressions, a political-power shock, and promotion regressions.
- **Main finding.** Local governments default less on CDB loans than on commercial-bank loans, especially in distressed cities, and this protection weakens after the CDB's political downgrading.
- **Mechanism.** Defaults on CDB loans reduce local politicians' promotion chances, especially for unconnected and lower-rank politicians.
- **Takeaway.** Government default behavior is strategic and shaped by the politics-finance nexus, not only by repayment capacity or borrower quality.

7 Conclusion

7.1 Core conclusion

- The paper provides rare direct evidence that governments selectively default when they can identify their creditors.
- In China’s subnational debt market, politically powerful lenders are protected relative to less powerful banks.
- The main reason is political: local politicians internalize the career consequences of defaulting on the CDB.

7.2 Economic intuition

- A government in distress does not simply choose between full repayment and full default.
- If creditors differ in the political cost of default, then the borrower economizes on those costs by defaulting on the least consequential creditors first.
- Because the CDB sits high in the political hierarchy and can affect promotions, it is the most expensive bank to default on from a politician’s perspective.
- Once the CDB’s rank falls, or once the politician becomes more politically protected, that repayment priority weakens.

7.3 Takeaway

This paper opens the black box of government default composition. Instead of treating default as a single aggregate outcome, it shows that governments can choose *who* bears the loss, and that this choice is shaped by political incentives. In the Chinese LGFV setting, local debt repayment is inseparable from political hierarchy and career concerns. More broadly, the paper suggests that whenever creditor identities are known and politically unequal, the pattern of default across creditors can reveal how finance and politics interact.